

both operating results and security prices. Can the investor go further and form a dependable judgment as to what classes of business are due to suffer still greater losses to competitors, which ones are relatively immune, and which may even be built up or regained? It is undoubtedly part of the speculator's function to arrive at conclusions on such matters as these. But we must express doubt whether the facts and their implications are sufficiently definite to form a basis for what may properly be called an *investment judgment*. Hence we must reiterate our view that the purchase of railroad bonds for investment must be motivated primarily by an adequate margin of safety actually demonstrated and that expectations as to future traffic developments should play only a cautionary role.

*Operating Efficiency.* The measures of operating efficiency generally considered are the following: Operating Ratio; Transportation Ratio; Average Trainload and Carload; Average Car Miles per Day; Ratio of Empty Mileage to Total Mileage; Fuel Consumption per Locomotive Mile.

The operating ratio is the ratio of all operating expenses, excluding taxes, to gross revenues. The transportation ratio applies only to those costs classified as "transportation expenses." In our opinion a more useful criterion than either of these would be the ratio to gross of all operating expenses except maintenance but including taxes. This might be called the "other operating-expense ratio." Maintenance outlays are separated because they are generally regarded as an indication of the liberality rather than the efficiency of the management. Allowance must, of course, be made for the lower maintenance requirements of some carriers in relation to their revenues—e.g., the soft coalers. Some studies may also be attempted to determine whether a given road is accomplishing a physical unit of maintenance cheaply or expensively, but this is a difficult subject on which to reach dependable conclusions.

The other items are self-explanatory. A high average trainload and carload, high car mileage per day, low mileage of "empties," low fuel consumption, are all obvious desiderata. However, the usefulness of these data is diminished by the fact that they are all pretty well reflected in the transportation ratio, so that one must beware of emphasizing the same point twice. It may also be an open question if a road making a rather poor showing in these respects may not present a more rather than a less attractive opportunity, provided these disadvantages are fully reflected